DIGITALAIKART · INDIA EDITION

THE RETURNING NRI PLAYBOOK

2026 – 27

Moving back to India: the order in which everything has to be done

INSIDE

- The day-count arithmetic that decides your tax for three years
- RNOR, the RFC account, and the order of conversion
- Selling property as a non-resident: the 14% withheld, and Form 128
- Baggage Rules, 2026: Rs 7,50,000 transfer of residence
- Aadhaar, PAN, e-OCI, schools, insurance and the first 90 days

70 sections · 10 parts · 27 tables and worksheets

Every threshold verified against official sources, November 2026

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The Returning NRI Playbook 2026-27

Moving back to India: the order in which everything has to be done

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PART 0

Read This First

Who this is for, what it is not, and how to use it in one sitting

Who this playbook is written for

You are an Indian citizen or an OCI cardholder living outside India, and you have decided - or are close to deciding - to move back for good. You may be in the United States, the United Kingdom, Canada, Australia, Ireland, Singapore or the Gulf. You have a job offer, a family situation, a parent who needs you, or simply a calculation that says the next ten years look better in India. You are not looking for a motivational essay about how India is booming. You are looking for the order in which things must be done, so that nothing expensive is missed.

That is exactly what this is: a sequence, with dates, forms, thresholds and the failure points that cost returning families the most money. Every threshold in it was checked against an official source in the first week of November 2026, and the source list is in Appendix H so you can re-verify anything that matters to you.

Why 2026 is a different year to return in

Three changes landed in the last eighteen months, and almost every guide still circulating online is wrong about at least one of them.

- **The tax law changed name and number.** The Income-tax Act, 2025 applies from tax year 2026-27 (1 April 2026). Residential status still sits in section 6, but the sub-sections moved: the deemed-resident rule is now section 6(7) and the not-ordinarily-resident rule is now section 6(13). TDS on rent paid by an individual is no longer section 194-IB - it is section 393(1), Table Sl. No. 2(i). TDS on a property sale to a non-resident is no longer section 195 - it is section 393(2), Table Sl. No. 17.
- **The forms changed name.** Form 26QC became Form 141, Schedule A. Form 13 became Form 128. Form 27Q became Form 144, Form 16A became Form 131, Form 26AS became Form 168, and Forms 15CA/15CB became Forms 145/146.
- **The baggage rules were replaced outright.** The Baggage Rules, 2026 (Notification No. 14/2026-Customs (N.T.), notified 1 February 2026, in force 2 February 2026) superseded the 2016 rules. The transfer-of-residence allowance for someone returning after two years or more is now **Rs 7,50,000**, not the Rs 5,00,000 that nearly every blog still quotes. The general free allowance is now **Rs 75,000**, and one new laptop per adult passenger is duty free.

> **How to use this book**
>
> Read Part 1 and Part 2 before you book anything. The date you land and the way you move your money are the two decisions that cost the most to get wrong, and both are decided months before the flight. Part 4 (customs) should be read before you pay a mover. Part 5 is your first-30-days list. The appendices are printable - use them.

What this playbook is not

It is not legal, tax or investment advice for your specific facts, and it is not a substitute for a chartered accountant, a FEMA practitioner or a property lawyer. Where the answer genuinely depends on your situation - whether the 60-day limb of the residency test catches you, whether Schedule FA applies in your RNOR year, how a particular state stamps a lease - this book tells you that it depends, tells you which question to ask, and tells you what the answer changes. That is more useful than a confident wrong answer, and it is the honest way to write about a rulebook that is being rewritten.

One practical warning: the Income-tax Act, 2025 came into force on 1 April 2026 and the Income-tax Rules, 2026 are still being filled in. Some procedural detail is genuinely unsettled, and the CBDT has been issuing notifications through 2026 to close gaps. Where that is the case, this book says so and gives you the date it checked. If you are reading this more than a few months after November 2026, re-verify the four numbers that move: the TR slabs, the RNOR day counts, the LRS TCS rates and the property TDS rate.

The four numbers that decide most of the money

Number	What it governs	2026-27 position
182 days	The basic residency test	In India 182 days or more in the tax year = resident
Rs 15,00,000	The high-income trigger for the 120-day rule and deemed residence	Income other than foreign-source income above this changes the test
Rs 7,50,000	Transfer-of-residence customs allowance	Returning after 2 years or more abroad, Baggage Rules 2026
12.5% + surcharge + cess	TDS when you sell property as a non-resident	On the full sale price, not on your gain, unless you get Form 128

Four numbers. Between them they decide whether your first year back is taxed on your worldwide income, whether your container clears duty free, and whether a property sale locks up a few lakh rupees for a year. Every one of them is covered in detail later.

PART 1

Decide, Then Date It

The return decision, the two clocks, and the arrival-date arithmetic that sets your tax for three years

1.1 The honest audit: what actually goes wrong

Returning NRIs do not usually fail on paperwork. They fail on one of five things, and four of them are visible a year in advance if you are willing to look.

1. **No confirmed income on the Indian side.** The single strongest predictor of a painful return is arriving without a signed offer, a functioning practice, or twelve months of runway. Searching for a job after you land weakens your negotiating position badly, because you are negotiating in a market that reads "already relocated" as "needs this job". If you are coming back to a family business or your own practice, treat the first eighteen months as a build period with a cash buffer, not as an income stream.
2. **The salary reset shock.** A senior engineer in California and a senior engineer in Bengaluru are not paid on the same curve, and the gap is widest at the top. Model your post-tax, post-rent, post-school-fee number before you decide. A household spending USD 9,000 a month abroad may find that the Indian equivalent of that lifestyle - international school, two cars, a large flat, domestic help, travel - costs Rs 3.5 to 5 lakh a month in a metro, which is a very different multiple of a local salary than people expect.
3. **The social rebuild.** Your friends have spent a decade building networks you were not present for. This is the part nobody budgets for. Plan deliberately: three professional communities, one hobby group, and a standing monthly commitment of some kind. It sounds soft. It is the reason a meaningful share of families return abroad within two years.
4. **The school decision made late.** Admissions in most Indian private schools run roughly September to January for the April academic year. Arrive in May and you are choosing from what is left, at prices set by scarcity.
5. **The tax status assumed rather than computed.** "I'll be RNOR for three years" is repeated so often that people treat it as a right. It is a computation, it depends on your arrival date and your travel history, and it can be lost entirely by landing three weeks too early.

> **The 20-minute audit**
>
> Score each line 0 (not ready), 1 (partly), 2 (ready). Confirmed income in India; 12 months of runway in rupees; school place identified and applied for; housing sorted for the first six months; CA engaged who has handled returning NRIs before. Below 6 out of 10, fix the gaps before you fix the flight date. Between 6 and 8, proceed but treat the missing items as your first-quarter priorities.

1.2 The two clocks you are working against

Almost every expensive mistake in a return move comes from treating "resident" as one status. It is two, decided by two different laws, on two different dates, and they are not the same.

	FEMA (foreign exchange)	Income-tax Act, 2025
What it decides	Your bank accounts, remittances, property rights, LRS eligibility	What income is taxed, in which country, at what rate
The test	Intention: have you come to India to stay for an uncertain period?	Day count: 182 days, or 60 days plus 365 in the four preceding years
When it changes	The day you land, if you have come to settle	At the end of the tax year, looking back at the whole year
How many statuses	Two: non-resident or resident	Three: non-resident, RNOR, ROR
Your first action	Redesignate NRE/NRO accounts, open an RFC account	Compute your day count and agree the year's position with your CA

Read that table twice, because it is the hinge of the whole move. On the morning you land to settle, you are a FEMA resident - full stop, no 182-day wait. That is why the tax-free status of your NRE savings account dies on day one even though the Income-tax Department may still treat you as non-resident for that whole year. The two clocks are running at different speeds, and the gap between them is where money quietly leaks.

> **The NRE interest trap**
>
> Interest on an NRE account is exempt because the account holder is a non-resident under FEMA, not because they are RNOR. The moment you become a FEMA resident, that exemption stops prospectively. Interest credited before your return date stays exempt; interest credited after it is taxable. An RFC (Resident Foreign Currency) account does not have this problem - its interest stays exempt while you are RNOR. This is the single most valuable account conversion in the whole move, and most people do it in the wrong order.

1.3 Your day count: the arithmetic that sets your first three years

For tax year 2026-27 onwards, residential status is decided under section 6 of the Income-tax Act, 2025. The tests have not changed in substance from the old section 6 - only the layout and the sub-section numbers moved. Here is the whole thing in order.

Step 1: are you resident at all? (section 6(2))

- **182-day test:** you are resident if you are in India for 182 days or more in the tax year.
- **60 + 365 test:** you are also resident if you are in India for 60 days or more in the tax year *and* 365 days or more across the four preceding tax years.
- Either test is enough. If neither is met, you are a non-resident for that year.

There are three modifications to the 60-day limb, and only one of them matters to a person coming home permanently. An Indian citizen who *leaves* India for employment abroad, or as crew of an Indian ship, gets the 60 days replaced by 182 (section 6(3)) - that is the departure-year rule, not yours. An Indian citizen or person of Indian origin who is outside India and comes to India *on a visit* also gets

182 days, or 120 days if their income other than foreign-source income exceeds Rs 15 lakh (sections 6(4) and 6(5)).

That last one is the trap in reverse. The visiting rules are for people who are still living abroad. When you come back to settle, you are not on a visit, and those relaxations do not apply to you. Your test is the plain one in section 6(2), which means the 60 + 365 limb is live - and for someone who has been abroad for years, whether it catches you depends entirely on how many days you spent in India during the four previous tax years. Annual family visits of three to four weeks each add up to roughly 100 to 140 days over four years, which is under 365. Two long sabbaticals, a wedding season and a medical emergency can push you over it. You need the actual number, not a feeling.

Step 2: if resident, are you ROR or RNOR? (section 6(13))

You are **resident but not ordinarily resident** if either limb is true: you were a non-resident in nine out of the ten tax years preceding this one, or your stay in India was 729 days or less across the seven preceding tax years. You are ROR only when both of those fail - in practice, resident in at least two of the last ten years and present in India for 730 days or more in the last seven. Deemed residents under section 6(7), and high-income visitors who qualify only through the 120-day rule, are always RNOR.

For a typical returning NRI who has been abroad continuously for eight years or more, both RNOR limbs are comfortably met on the year of return, and usually for the next one or two years as well. That is the famous two-to-three-year RNOR window. It is real. It is also narrower than most people think, and it is set by dates rather than by choice.

1.4 Choosing your arrival date: the 2026-27 table

Here is the arithmetic for tax year 2026-27, which runs 1 April 2026 to 31 March 2027 (February 2027 has 28 days). Days in India are counted inclusively, and both the day of arrival and the day of departure count as days in India.

Arrival date in FY 2026-27	Days in India	182-day test	60 + 365 test	Resulting status
On or before 30 September 2026	183 or more	Resident	Resident	Resident. RNOR if the 6(13) limbs are met
2 October 2026	181	Not resident	Resident only if you had 365+ days in FY 2022-23 to 2025-26	Non-resident if the limb fails; resident (likely RNOR) if it is met
1 November 2026	151	Not resident	Same test, 60-day floor	As above
31 January 2027	59	Not resident	Fails - under 60 days	Non-resident for the year
1 February 2027 or later	58 or fewer	Not resident	Fails	Non-resident for the year

The line between 1 October and 2 October is the one that gets quoted everywhere, and it is worth understanding why it exists: from 1 October to 31 March is 182 days, so arriving on 1 October makes you resident on the day count alone. Arriving on 2 October gives you 181 and leaves the 182-day test unmet. In a year where the following February has 29 days, the same cut-off moves a day later - for tax year 2027-28, arriving on 3 October 2027 is the first date that keeps you under 182 days.

> **The 60 + 365 limb is the one people forget**
>
> Landing in November does not automatically make you non-resident. If you spent 365 days or more in India during the four preceding tax years - a sabbatical, a long family stay, a year of remote work from India - then 60 days in the return year is enough to make you resident, and the late arrival saves you nothing. Pull your actual entry and exit stamps, or your passport movement records, before you assume anything. This one calculation is worth an hour of your time and a few thousand rupees of your CA's.

1.5 What RNOR actually shields - and what it does not

Section 5(1) of the 2025 Act is precise about this. A resident's total income includes income received in India, income accruing or arising in India, and income accruing or arising outside India. But that last limb carries a carve-out: where the person is not ordinarily resident under section 6(13), foreign income is included *only* when it is derived from a business controlled in India or a profession set up in India.

In plain terms, during your RNOR years India taxes your Indian income and your foreign business income, and leaves genuine foreign-source income alone. What that means line by line:

Income	During RNOR	Once you are ROR
Salary earned abroad, before you return	Outside the Indian net	Outside the net if earned before you became ROR
Foreign bank interest, foreign dividends	Outside the Indian net	Taxable in India, with foreign tax credit for tax paid abroad
Capital gains on foreign shares or property	Outside the Indian net if the gain arises abroad	Taxable in India, with treaty relief and credit
US 401(k) or IRA distribution	Generally outside the Indian net while RNOR (US tax and the 10% early-withdrawal penalty still apply)	Taxable in India, with credit for US tax
Rent from an Indian flat	Taxable in India	Taxable in India
Interest on an Indian fixed deposit	Taxable in India	Taxable in India
Interest on an RFC account	Exempt while RNOR	Taxable at slab rates
Income from a business you control in India	Taxable in India even during RNOR	Taxable in India

Two warnings sit on top of that table. First, RNOR is not a disclosure holiday. Schedule FA of your return asks about foreign assets, and the obligations of a non-resident, an RNOR and an ROR are not identical - the instructions and the practitioner view have moved on this, so get your CA's position in writing before you file rather than after. Second, the shield is about *where the income arises*, not about where you park the money afterwards. See 2.7.

> **The RNOR window is a plan, not a prize**
>
> RNOR is most valuable when you use it to realise something you were going to realise anyway - selling a foreign property with a large embedded gain, taking a planned retirement distribution, restructuring a portfolio - during a year when India will not tax the gain. It is not valuable if you do nothing with it and then realise the same gain three years later as an ROR. Put the realisations in your calendar against the RNOR years while you still have the choice.

1.6 Three worked examples

Profile A: the October arrival

Priya has been in the United States for eleven years. She lands in Bengaluru on 15 October 2026 to stay. Days in India in FY 2026-27: 168. Her India presence across FY 2022-23 to FY 2025-26 was about 95 days in total, so the 365-day limb of the 60 + 365 test fails and she is **non-resident** for FY 2026-27. In FY 2027-28 she is in India the whole year, so she is resident, and RNOR because she was non-resident in nine of the ten preceding years. FY 2028-29: resident, still RNOR - the 729-day limb has not yet been crossed. FY 2029-30: the 729-day and two-of-ten tests are both met, so she becomes **ROR**. Her effective planning window is the whole of FY 2026-27 as a non-resident plus two RNOR years.

Profile B: the February arrival

Arun lands on 5 February 2027. Days in India: 55. Non-resident for FY 2026-27 on both tests. In FY 2027-28 he is resident and RNOR. Because he arrived late in FY 2026-27, his RNOR run stretches an extra year compared with Profile A - he reaches ROR in FY 2030-31. The cost of that extra year is a later start on everything that requires Indian residency, including a full LRS allowance and normal resident investment access. Whether the trade is worth it depends on what he plans to realise abroad.

Profile C: the one who is caught by the 60 + 365 limb

Meera planned a 20 November 2026 return, assuming 131 days in India would make her non-resident. But she had worked remotely from her parents' home in Pune for most of FY 2024-25, spending 210 days in India that year, and another 120 days across the other three years. That is 330 - still short. Then she checks again and finds a further 60 days from a family emergency in FY 2023-24, taking her to 390. She is now resident for FY 2026-27 despite arriving in November, because 60 + 365 is satisfied. She is almost certainly RNOR, so the outcome is not a disaster - but she has lost the extra non-resident year she had planned her property sale around. Had she needed one more non-resident year, the only lever left would have been to arrive with fewer than 60 days in the year, which means after 31 January 2027.

> **The lesson from Profile C**
>
> There is no substitute for the actual day count. Download your entry and exit history from the passport, or use the immigration movement records, and build the table in Appendix B before you book a flight. Every subsequent decision - when to sell the house abroad, when to take the 401(k) distribution, whether to file an Indian return at all for the year of return - hangs off that one number.

1.7 The last tax year abroad: closing out the other side

Everything in this book is about the Indian side of the move, but the year you leave is also a tax year somewhere else, and the two filings have to agree with each other. This is a checklist of the questions to put to a local adviser in your current country before you leave - not a substitute for one, because departure rules are where a general guide is most likely to be wrong for your facts.

Country	The main departure issues	Ask your adviser
United States	Residency for US tax purposes (green card vs substantial presence), dual-status or full-year return, FBAR (FinCEN 114) for foreign accounts, FATCA Form 8938, state taxes in the year of departure	Am I a dual-status alien in the year I leave, and does that help or hurt? Which state return do I still owe?
United Kingdom	Statutory Residence Test, split-year treatment, form P85, pension access rules once you are not UK resident	Do I qualify for split-year treatment, and what does that do to my allowances?
Canada	Departure tax (deemed disposition of property on becoming non-resident), T1161 and T1243 reporting for property over CAD 25,000, non-resident landlord withholding if you keep a property	Which assets are deemed disposed on departure, and which reporting forms are triggered?
Australia	Medicare and superannuation treatment, departing Australia superannuation payment rules, capital gains on ceasing residency	What happens to my super if I leave it, and what is the tax on any withdrawal?
Gulf states	No personal income tax, but end-of-service benefit settlement, loan and credit card closure, and exit formalities	What is my final settlement, and can I get it as a single documented transfer?

Three habits make the last foreign year manageable. First, keep a single folder with every document that proves when you left - the flight, the lease termination, the school withdrawal, the final utility bills. Second, do not close the foreign bank account in the same month you leave; keep it open and compliant until the Indian side is running. Third, decide with your adviser whether your final foreign return is a full-year or a part-year return before you file it, because that choice usually determines whether you can claim a foreign tax credit in India later.

> **The date discipline**
>
> Three dates now govern three different systems: your departure date (foreign tax year), your arrival date (Indian tax year and the 182-day count), and the date you become a FEMA resident (the day you land to settle). Write all three on one line at the top of your folder. Half the mistakes in this book are somebody confusing them.

PART 2

The Money Map

Accounts, retirement funds, treaties and the reporting you must not skip

2.1 The eight-account audit

Before you touch anything else, list every account, folio and policy that touches India, and every one that touches your country of residence. Returning NRIs lose money not because a rule is unfair but because an account is forgotten for two years and then needs a compliance explanation. Use this table as your register.

Account or asset	What happens on return	Action	When
NRE savings	Must be redesignated to a resident account, or the balance moved to RFC	Notify the bank in writing; instruct on RFC vs resident	On or immediately after arrival
NRE fixed deposit	May run to its contracted rate and maturity	Do not break early; plan maturity routing to RFC	At maturity
NRO savings	Redesignated to an ordinary resident savings account	Update KYC, address and status	Immediately
FCNR(B) deposit	May run to maturity at the contracted rate; no fresh FCNR while resident	Give maturity instructions before maturity	Before maturity
RFC account	The account you should open	Fund from NRE/FCNR balances	First month
NRI demat and PIS account	Convert to a resident demat; close the PIS account	Fresh KYC with the depository participant	First quarter
Mutual fund folios	Status must be updated with each AMC or registrar	Update KYC and bank mandate; FATCA/CRS re-declaration	First quarter
Insurance policies bought in India	Continue, but the insurer must know your status and bank details	Notify insurer; update mandate	First month

Two items on that list are routinely forgotten: the PIS account (Portfolio Investment Scheme), which exists only for non-residents and should be closed once you are a resident demat holder, and the FATCA/CRS self-certification on every Indian financial account, which must be re-done because your country of tax residence has changed. A stale CRS declaration is the kind of thing that surfaces three years later as a letter.

2.2 The conversion sequence, in the right order

Order matters here, and the correct order is not the intuitive one. Most people convert NRE to a resident savings account first because it is the obvious option on the form, and then discover that the balance is now rupee-denominated, subject to LRS limits and TCS when they want to send it back out. Do it this way instead.

1. **Open the RFC account first,** before you convert anything. Take your passport with the arrival stamp, your visa or foreign residence permit, PAN, Aadhaar or address proof, and the bank's residential status change form. Ask specifically for a *Resident Foreign Currency (Domestic)* or RFC account in the currency you hold, and ask in writing which credits the bank will accept into it.
2. **Fund the RFC from NRE and FCNR balances.** The rules permit NRE and FCNR(B) balances to be credited to an RFC account when the holder becomes resident. Keep the source-of-funds trail: a bank statement showing the NRE balance before conversion and the RFC credit after.
3. **Then redesignate NRE savings to a resident savings account** for your day-to-day rupee money. Convert only what you need for spending in the next six to twelve months.
4. **Redesignate NRO to resident savings** and check the interest credit dates, because NRO interest was always taxable and nothing changes there.
5. **Leave existing NRE and FCNR fixed deposits alone** until maturity. They continue at the contracted rate. Give maturity instructions in advance so the proceeds land in the RFC rather than being auto-credited to a rupee account.
6. **Then do the demat, the mutual funds and the insurance,** in that order, because each one asks for the bank mandate you have just created.

> **How fast is "immediately"?**
>
> The FEMA direction requires NRE balances to be redesignated or moved to RFC when you become resident; it does not offer a statutory grace period, and the RBI's own FAQ language is "immediately", not 30 or 90 days. Banks process it in days to a few weeks, which is an operational delay, not a legal one. Notify the bank in writing on arrival, keep the acknowledgement with the date on it, and do not let a slow branch turn into your problem. If a branch tells you to come back after three months, ask for that in writing and escalate to the NRI cell.

2.3 RFC: the account almost nobody explains

A Resident Foreign Currency account is an Indian bank account held in a foreign currency by someone who has returned to India and is now a FEMA resident. It is the designated home for the foreign exchange you brought back with you, and it does three things that no other account does.

- **It keeps the currency.** Your dollars stay dollars. If the rupee moves, you are not exposed.
- **Its interest is exempt while you are RNOR.** That is the exemption that used to sit in section 10(15)(iv)(fa) of the 1961 Act, and it is why funding the RFC from NRE matters - NRE interest loses

its exemption the day you become FEMA-resident, RFC interest does not.

- **It is not subject to the LRS ceiling or to TCS.** LRS gives a resident individual USD 250,000 a year, and TCS applies to remittances above Rs 10 lakh. RFC balances sit outside that framework and are freely usable outside India, which matters enormously if you are paying a child's foreign tuition, maintaining a property abroad, or keeping the option of a reverse move open.

There is a boundary worth knowing. RFC is for foreign exchange that came from abroad - NRE and FCNR balances, foreign income, the proceeds of foreign assets. It is not a way to convert resident rupees into dollars and park them. Keep the source-of-funds record for every credit, and get the bank's eligibility assessment for the credit in writing. Also note that RFC and RFC(D) are different schemes with different rules; ask which one the bank is opening.

2.4 What to do with the retirement accounts you left behind

This is the decision with the largest single number attached to it, and the default answer - cash it all out before you leave - is usually the wrong one.

Holding	The tempting move	The better move
US 401(k) from a former employer	Withdraw it all in the final US year	Roll it into a single IRA while you still have a US address, then use the RNOR window for any planned distribution
US IRA	Leave it and forget it	Confirm in writing whether your custodian restricts accounts with a foreign address; many do, and some freeze trading
Roth IRA	Assume it stays tax-free forever	India does not recognise the Roth wrapper. Resolve Roth positions during RNOR rather than after
UK workplace or personal pension	Transfer it to India	Leave it; UK pension drawdown rules change when you stop being UK tax resident, and the India-UK treaty handles double taxation
Gulf end-of-service benefit	Treat it as tax-free savings	It is; but confirm the receiving route and keep the settlement letter - it becomes your source-of-funds proof
Foreign brokerage account	Close it	Keep it if the platform serves non-residents; it is far easier than reopening later

Two mechanical points save real money. First, distributions before age 59 and a half from US retirement accounts generally attract US income tax plus a 10% early-withdrawal penalty, and taking a large distribution in your final US year can push you into a high bracket - which is exactly the mistake the RNOR window exists to avoid. Second, update your W-8BEN with the custodian once you are a non-resident alien for US purposes, and check the withholding rate against the treaty rather than accepting the default.

2.5 Treaties, Form 67, and the credit you lose by being late

India taxes residents on foreign income once they are ROR. It does not intend to tax the same income twice, and the double taxation avoidance agreements plus the foreign tax credit mechanism are how that is prevented. The mechanism has a procedural gate that people fail.

To claim foreign tax credit, you file Form 67 on or before the due date for filing your return. The rule is strict: file late and the credit can be lost entirely, which converts a manageable double-tax question into a full second tax bill. If you have any foreign income in your first ROR year - and you will, because retirement accounts and brokerage accounts do not stop existing - Form 67 goes on your calendar at the same time as the return, not after it.

> **The first-year filing trap**
>
> Your year of return may need an Indian return even if you were non-resident for part of it, because Indian-source income (rent, interest, a property sale) is taxable for a non-resident too. At the same time, your home country may want a part-year or dual-status return. The two filings use different year-ends - 31 March in India, 31 December in the US - and the mismatch is where credits get lost. Engage one adviser who can see both sides, or two who will talk to each other in writing.

2.6 Schedule FA: the Rs 10 lakh line

Schedule FA of the Indian return discloses foreign assets: foreign bank accounts, foreign brokerage and custody accounts, foreign immovable property, foreign retirement accounts, foreign business interests, and other foreign financial interests. The reporting period is the calendar year, not the Indian tax year, which is a detail that catches people out in their first year.

The disclosure threshold is nil. Every specified foreign asset must be reported regardless of value, and the penalty for non-disclosure under the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 is Rs 10 lakh per asset, plus a much heavier charge on any associated income. The 2024 amendment created a safe harbour for certain movable foreign assets below a threshold, but a safe harbour from one consequence is not a licence to leave the schedule blank.

The live question for a returning NRI is whether Schedule FA applies in the RNOR years. The honest position: the obligations of non-residents, RNORs and RORs are not identical, the return instructions and practitioner views have shifted, and you should not decide this yourself. Ask your CA one precise question - "for tax year 2026-27, as an RNOR, which of my foreign accounts must appear in Schedule FA?" - and keep the written answer with your return working papers. What is not in doubt is that once you are ROR, everything must be disclosed, and that "I didn't know" is not a defence that has ever worked.

2.7 The "received in India" trap

Here is a mistake that costs returning families lakhs, and it is invisible until the assessment. During your RNOR years, foreign-source income is outside the Indian net. But the exemption is about income that arises outside India and is not received in India. If you wire your foreign savings into an ordinary Indian savings account and treat it as spending money, you have given the department a straightforward argument that it has been received in India.

The practical discipline: keep foreign-source money in the RFC or in the foreign account until you have decided what it is for. Fund rupee spending from rupee income - your salary, your rent, your deposits. If you must bring a lump sum in, do it deliberately, document the source, and talk to your CA before the transfer rather than after. The difference between an RFC credit and a savings account credit is a line on a form and, potentially, a tax bill.

2.8 LRS after you land: what changes

Once you are a FEMA resident, you gain access to the Liberalised Remittance Scheme - and you should understand it precisely, because it is the framework you will use for everything you send abroad that is not already in an RFC.

- The ceiling is **USD 250,000 per financial year** per resident individual, covering both current-account and permitted capital-account uses, tracked against your PAN across all banks.
- TCS applies to the amount above an aggregate of **Rs 10 lakh** per financial year. From 1 April 2026, the rate for education and medical treatment is **2%** (reduced from 5% by the Finance Act, 2026) and for all other covered purposes it remains **20%**. Remittances funded by a qualifying education loan carry nil TCS.
- Overseas tour programme packages sold in India are on a separate rule: a flat 2% collection by the seller, with no threshold.
- TCS is a credit, not a final tax. It appears in your annual statement and is adjusted against your liability, but it is a cash-flow cost in the meantime - which is the reason to plan large remittances against the threshold rather than discovering it in March.
- RFC balances are outside LRS. If the money is already in an RFC, you are not using LRS to send it.

One nuance that catches new residents: LRS is for resident individuals under FEMA, and residency there is intention-based. You qualify from the day you land to settle, not after 182 days. If a bank tells you to wait until the next financial year, escalate - the two frameworks are being confused.

2.9 The money timeline

When	What must be done
T minus 12 to 9 months	Compute the day count for the return year and the two years after. Agree the RNOR plan with a CA who has done returning-NRI work. Decide the year for any large foreign realisation.
T minus 9 to 6 months	Consolidate retirement accounts while you still have a foreign address. Get quotes from movers and check TR eligibility. Shortlist schools and note admission windows. Start the Indian health insurance process.
T minus 6 to 3 months	Realise what you intended to realise inside the plan. Close or settle foreign credit cards. Arrange the foreign bank and brokerage accounts for non-resident use. Collect original documents.
T minus 3 to 1 month	Book the container 8 to 10 weeks out. Prepare the customs folder (Part 4). Notify Indian banks in writing of the change to come. Keep the arrival date exactly as planned.
Arrival week	Notify banks. Open or fund the RFC. Start the Aadhaar and PAN updates. Register the address.
First 30 days	Complete NRE/NRO redesignation. Open the resident demat. Update mutual fund KYC. Notify insurers.
First 90 days	Close the PIS account. Re-do FATCA/CRS declarations. Reconcile the first interest credits. Set the Form 67 and return calendar.

> **A note on sequencing**
>
> The RFC must exist before the NRE conversion, the conversion must happen before the demat, and the demat must happen before you try to sell Indian shares. If you do these out of order you will spend weeks re-submitting the same KYC. Print the timeline, put it on a wall, and tick it off.

2.10 What becomes available once you are resident

Part of the reason to understand the FEMA-versus-tax distinction is that a set of products opens up on the day you become a FEMA resident, not on the day you become a tax resident. The list below is what a returning family typically gains access to, and what it means in practice.

Product or right	Before you return	Once you are a FEMA resident
Public Provident Fund (PPF)	Not available to a non-resident for fresh contributions beyond the permitted continuation of an existing account	You can open and contribute; the 15-year term and the tax treatment apply as for any resident
National Pension System, Tier II	Restricted for non-residents	Available as a resident, with the additional Tier II account
Sovereign Gold Bonds, RBI floating rate bonds	Generally not available to non-residents	Available in the resident category, subject to issue windows
Intraday equity trading	Not permitted through the non-resident route	Available once your demat is a resident account
Agricultural land and farmhouse	Prohibited, except by inheritance	Available on the same terms as any resident, subject to state agriculturist and ceiling rules
Home loan on Indian income	Assessed on your foreign income, with NRE/FCNR security	Assessed on Indian income; usually a faster and cheaper process
Rupee current and savings accounts at full functionality	Limited by non-resident product rules	Standard resident banking, including UPI

One warning that saves a wasted afternoon: bank staff routinely confuse FEMA residency with tax residency, and will sometimes tell a returning customer to wait until the next financial year, or until they have an Indian salary slip, before opening a resident product. Neither is a FEMA requirement. Ask for the product's eligibility criteria in writing and escalate to the NRI cell if the branch is reading the wrong rulebook.

PART 3

Property

Buying, selling, renting and the TDS that locks up your money

3.1 Buying property in India: what an NRI can and cannot do

The rule is short and it has not changed. Under the Foreign Exchange Management (Non-debt Instruments) Rules, 2019 - Rule 24, which replaced the older acquisition and transfer regulations - an NRI or OCI may acquire immovable property in India **other than agricultural land, a farmhouse, or plantation property**. There is no cap on the number of residential or commercial properties you may buy, and no prior approval of the RBI is needed.

Transaction	Permitted?	Notes
Buy residential or commercial property	Yes	No RBI approval; no limit on the number
Buy agricultural land, plantation or a farmhouse	No	Only by inheritance; a violation is compoundable but expensive - penalties can run to three times the sum involved
Acquire residential or commercial property by gift	Yes	From a resident, an NRI or an OCI who is a relative
Acquire any property by inheritance	Yes	Including agricultural land
Sell residential or commercial property	Yes	To a resident, an NRI or an OCI
Sell inherited agricultural land	Only to a resident Indian citizen	Not to another non-resident
Gift agricultural land	Only to a resident Indian citizen	Not to another non-resident

The payment rule is equally strict: the consideration must come through banking channels, from an inward remittance, or from funds in an NRE, FCNR(B) or NRO account. It cannot be paid in travellers' cheques, in foreign currency notes, or outside India. And the prohibition on agricultural land is not a technicality - it is the single most common FEMA contravention among returning NRIs, usually because a relative suggested putting the plot in the family's name and sorting the paperwork later.

> **The benami warning**
>
> Buying agricultural land through a resident relative's name, while you fund and control it, is not a workaround - it is a benami transaction under the Prohibition of Benami Property Transactions Act, 1988, with confiscation exposure and prosecution for both the beneficial owner and the person lending the name. If you want land, wait until you are a FEMA resident, which happens on the day you land to settle, and then buy it as any other resident would, subject to the state's own agriculturist and ceiling rules.

3.2 Selling property as a non-resident: the 14% surprise

This is the chapter to read before you accept any offer on an Indian property, because the cash-flow hit is larger than almost anyone expects.

When a resident individual sells property, the buyer deducts 1% TDS on the consideration above Rs 50 lakh, under the provision that used to be section 194-IA. When a **non-resident** sells, none of that applies. The buyer must deduct tax under what was section 195 and is now **section 393(2), Table Sl. No. 17** of the Income-tax Act, 2025, on the **entire sale consideration** - not on your gain - at the capital gains rate plus surcharge and cess.

Holding period	Nature of gain	Base rate	On top
More than 24 months	Long-term capital gain	12.5% (no indexation, for transfers on or after 23 July 2024)	Surcharge, capped at 15% for LTCG, plus 4% cess - up to about 14.95% effective
24 months or less	Short-term capital gain	Your slab rate, up to 30%	Surcharge plus 4% cess

Work the example through and the problem is obvious. A flat bought for Rs 1.5 crore and sold for Rs 2 crore has a gain of Rs 50 lakh. But the buyer deducts on Rs 2 crore: at an effective long-term rate near 14%, that is roughly Rs 28 lakh withheld - more than half the gain - and it stays with the government until you file your return and claim the refund.

The fix: apply for a lower deduction certificate before you sign

You can ask the Assessing Officer to let the buyer deduct on your actual gain instead of the sale price. From 1 April 2026 the application is **Form 128** under **section 395(1)** of the 2025 Act, read with Rule 213 of the Income-tax Rules, 2026 - it replaces Form 13 under the old section 197. It is filed electronically on the TRACES portal.

- Attach a computation of your estimated total income and tax liability for the tax year, plus computations for any of the four preceding years in which you did not file a return.
- Include the purchase deed, the proposed sale agreement, the buyer's details, the cost of acquisition and improvement, and any exemption you intend to claim.
- Apply **well before** the first payment. A certificate protects only payments made after it is issued - an advance paid before the certificate suffers deduction on the full amount, and you cannot unwind it. Practitioners suggest 30 to 60 days of lead time; assume longer if the officer raises queries.
- Note one practical wrinkle for 2026-27: Form 128 asks for the payer's TAN, but from 1 October 2026 an individual or HUF buyer no longer needs a TAN. Agree with your buyer, before you file, how the buyer will be identified - keep the agreement, the buyer's PAN and the payment schedule consistent across the application and the eventual deposit.

What changed on 1 October 2026

CBDT Notification No. 121/2026 dated 22 September 2026 simplified the buyer's side for resident individuals and HUFs purchasing immovable property from a non-resident. From 1 October 2026, such a buyer does not need a TAN: the tax is deposited through **Form 141, Schedule E**, using PAN, and the seller receives a TDS certificate in **Form 132**. Companies, firms and other non-individual buyers stay on the TAN route - challan, quarterly statement in **Form 144**, certificate in **Form 131**.

The transaction date therefore matters for reasons that have nothing to do with the price. Many sub-registrar offices ask for proof of TDS payment before they will register the sale deed, so a buyer who has used the wrong route can stall your registration. If your sale completes in 2026-27, put the correct route in writing to the buyer's accountant.

3.3 Renting out the flat you keep

If you keep an Indian property and rent it, three things follow automatically.

1. **Thirty per cent standard deduction.** Rental income is taxed under the house property head with a 30% deduction for repairs and collection, plus a deduction for municipal taxes actually paid, before your slab rate is applied. You do not need bills for the 30% - it is statutory.
2. **Your tenant may have to deduct TDS.** If you are a resident landlord and the rent exceeds Rs 50,000 a month, an individual or HUF tenant deducts 2% once a year - at the time of payment or credit of rent for the last month of the tax year, or the last month of the tenancy, whichever comes first - and deposits it within 30 days of the end of that month. The provision that was section 194-IB is now **section 393(1), Table Sl. No. 2(i)**, and the form that was 26QC is now **Form 141, Schedule A**. No TAN is needed; the tenant uses PAN. The tenant should issue you a certificate in Form 16C within 15 days of the statement's due date. Where the payer is a company or is liable to tax audit, the 10% rent TDS provision applies instead.
3. **Your PAN must be correct and linked.** If you do not furnish PAN, the deduction goes to 20%, and the credit lands against the wrong record. Check that the name on your PAN matches your bank and property records before the first rent cycle.

For a non-resident landlord - which is what you are until you land - the same rent TDS applies, and the credit appears in your Indian return. Keep every rent agreement, receipt and TDS certificate: this is the cleanest paper trail you will ever have for an Indian income source, and it becomes useful the day a bank asks you for proof of funds.

3.4 Taking the money out: repatriation

If you sell an Indian property while still a non-resident and want the proceeds abroad, the route depends on how you bought it.

- Sale proceeds of up to **two residential properties** that were purchased out of foreign exchange received through banking channels, or out of NRE or FCNR(B) funds, can be repatriated, subject to the amount originally brought in.
- Balances in an NRO account - including proceeds of property bought with rupee funds - can be remitted up to **USD 1 million per financial year**, with an undertaking from the remitter and a chartered accountant's certificate.
- The declaration and certificate that used to be Forms 15CA and 15CB are now **Forms 145 and 146**.

- Proceeds of agricultural land, a farmhouse or plantation property go to the NRO account and follow the USD 1 million route, and the land can only have been sold to a resident Indian citizen.

One sequencing point: the repatriation paperwork needs the chain of evidence - the original purchase deed, the bank advice showing the inward remittance or NRE debit, the sale deed, the TDS certificates and the capital gains computation. Assemble that folder before the sale, not after. Reconstructing a 2011 bank advice in 2027 is close to impossible.

3.5 A worked sale, end to end

Step	What happens	Amount
Sale price agreed	Residential flat, held 9 years	Rs 2,00,00,000
Buyer's default TDS	12.5% + 15% surcharge cap + 4% cess on the full consideration	About Rs 28,00,000 withheld
Form 128 applied for	Computation shows a gain of Rs 50,00,000 and tax of about Rs 6,50,000	Certificate issued for a lower rate
TDS actually deducted	On the certified basis	About Rs 6,50,000
Cash released at closing	The difference	About Rs 21,50,000 more in hand
Return filed	Capital gains declared; any excess TDS claimed as refund	Reconciled in the return

The entire benefit comes from one form, filed early. Miss it and the money is not lost, but it is parked with the government for the better part of a year - which is precisely the money a returning family needs for a house deposit, a school admission or a car.

3.6 The family property conversation

Before you land, have one recorded conversation about property in the family - who owns what, who is paying for what, and what happens if a parent needs care. Do it while everyone is calm and while you are still abroad, because the same conversation after a hospital admission is a different conversation.

- **Get the papers into one folder:** sale deeds, mutation records, property tax receipts, society share certificates, and any older will.
- **Check the title, not the story.** A property that has passed through inheritance without mutation is a months-long problem. Start now.
- **If you need to act on property while abroad, a power of attorney is the tool** - executed, attested and, where required, apostilled or consularised. Take advice on the exact form your sub-registrar accepts; the requirements vary by state and are strictly enforced.
- **Never buy or sell on the strength of a WhatsApp confirmation.** Every step that matters should exist on paper with a date.

3.7 The annual cost of holding an Indian property

Most NRI property decisions are made on the purchase price and the rent, and lose money on the carrying cost in between. This is the worksheet that should sit next to any decision to keep a flat.

Line	Illustrative annual figure	Note
Gross rent	Rs 5,40,000	Rs 45,000 a month on a property worth about Rs 2 crore - a 2.25% gross yield, which is normal in a metro
Vacancy allowance	Rs 27,000	Assume one month empty every two years, plus a month of negotiation at renewal
Agent commission	Rs 22,500	Typically half to one month's rent at each fresh letting
Society maintenance and property tax	Rs 60,000	Recovered from the tenant only if the lease says so, and only up to what is agreed
Repairs and replacement	Rs 35,000	Painting, plumbing, appliances. This is the number owners underestimate most
Insurance	Rs 6,000	Structure and contents cover; cheap and worth it
Your time and travel	Not priced	Calls at odd hours, a trip home to sign something, a tenant who stops paying while you are eight time zones away
Net before tax	About Rs 3,89,500	Roughly 1.9% on the property value
Tax	30% standard deduction, then your slab rate	On the net annual value after municipal taxes; the 30% is statutory and needs no bills

Run that arithmetic before you decide to keep a flat "because it pays for itself". In most metros it does not, once vacancy, repairs and your own time are counted. The case for keeping it is usually capital appreciation, a future use for the property, or a belief about the rupee - all legitimate reasons, but say them out loud rather than hiding them behind a gross yield.

> **The two questions that decide it**
>
> One: if I sold this today and put the proceeds in a fixed deposit, would I be better or worse off after tax? Two: in which year will I actually use this property, and what would I pay to rent the same thing instead? If the answer to the second is "never", the property is an investment, and it should be judged as one.

PART 4

The Shipment and the Customs

The Baggage Rules, 2026 - what changed on 2 February, and how to clear your container without paying duty you do not owe

4.1 What changed on 2 February 2026

If you have read anything about transfer of residence in the last few years, forget the numbers. The Baggage Rules, 2026 - Notification No. 14/2026-Customs (N.T.), notified 1 February 2026 and in force from 2 February 2026 - superseded the Baggage Rules, 2016 entirely. The structure was rationalised and the allowances were raised substantially.

Item	Old rule (Baggage Rules, 2016)	Current rule (Baggage Rules, 2026)
Transfer of residence, stay of 3 to 12 months	Rs 60,000	Rs 1,50,000
Transfer of residence, 1 year in the preceding 2 years	Rs 2,00,000	Rs 3,00,000
Transfer of residence, 2 years or more	Rs 5,00,000	Rs 7,50,000
General free allowance for a resident	Rs 50,000	Rs 75,000
New laptop	Not separately provided	One new laptop (including a notepad) free of duty for a passenger aged 18 or above
Jewellery allowance on return	Different structure	40 grams for a female passenger, 20 grams otherwise, for a resident or tourist of Indian origin who has been abroad more than one year
List of appliances allowed one unit each	Annexure III	Annexure II - a single rationalised list of 30 items

The allowances are cumulative in a specific way: the transfer-of-residence entitlement is *in addition to* the general free allowance and the used-personal-effects allowance. Used personal effects required for daily necessities are allowed free of duty without a value cap, provided they are not in the excluded list. That combination is what makes a container viable.

4.2 Do you qualify for transfer of residence?

The transfer-of-residence facility is not automatic. For the top slab - Rs 7,50,000 - all three conditions must be met, and two of them are easy to fail by accident.

1. **Minimum stay of two years abroad** immediately before your arrival, on transfer of residence.
2. **Total stay in India on short visits during the two preceding years must not exceed six months.** This is the condition that fails quietly: two long Diwali trips plus a wedding plus a family illness can cross six months without you noticing.
3. **You must not have availed of this concession in the preceding three years.** There is no relaxation for this one at all.

The two escape hatches

- A shortfall of up to **two months** in the two-year stay can be condoned by the Deputy or Assistant Commissioner of Customs, if the early return is on account of terminal leave or vacation, or other special circumstances recorded in writing.
- Short visits to India exceeding six months in aggregate can be condoned by the Principal Commissioner or Commissioner of Customs in special circumstances, again with reasons recorded.

The practical consequence: if you are at 22 months abroad or 7 months of short visits, you are not disqualified, you are in a discretionary zone. Ask your clearing agent to file for condonation in advance and get the request in writing before the container sails. If the top slab is refused, you fall back to the Rs 3,00,000 slab (one year's stay in the preceding two years), which is still substantial.

> **The middle slab is under-used**
>
> The Rs 3,00,000 slab applies where you had a minimum stay of one year during the preceding two years, and the only additional condition is that you have not availed of that specific concession in the preceding three years. If your two-year record is messy because of long visits home, this is the slab to plan against rather than assuming the top one.

4.3 What the allowance actually covers

Three lists govern this, and confusing them is the most common clearance problem.

List	What it is	Consequence
Used personal effects	Clothing, toiletries, and articles for daily necessities	Free of duty without a value cap
Annexure I - excluded	Firearms, cartridges over 50, cigarettes over 100 sticks, cigars over 25, tobacco over 125 g, liquor over two litres, gold or silver in any form other than ornaments, and television	Not allowed under any allowance; restricted or dutiable separately
Annexure II - one unit each	30 items including home theatre, air-conditioner, microwave, washing machine, gas cooking range, desktop, laptop, refrigerator, television, dishwasher, deep freezer, vacuum cleaner, air fryer, dryer, gaming console, tablet, Bluetooth speakers, air purifier, printer, projector, amplifier	One unit of each, within the overall value cap

Two entries in that table surprise people every year. Television sits in Annexure I as an excluded item *and* in Annexure II as a one-unit item - read the current notification text and the customs guide for your port before you pack one, and expect questions. Gold and silver in any form other than

ornaments are excluded outright, which is separate from the jewellery allowance.

4.4 Ship, sell or rebuy: the comparison nobody does

The container decision is usually made emotionally, and it is worth forty minutes of arithmetic because the answer is often "ship less than you planned".

Option	What it costs	What to weigh
Ship the full container	Freight and insurance plus clearing agent fees plus inland transport; plus duty on anything above your allowance	Only rational if the goods are worth more than the landed cost, and if you genuinely want them in the Indian home
Ship a part container	Same fixed costs spread over fewer cubic metres	Often the worst of both worlds unless you are near a full load
Sell abroad and rebuy in India	Depreciation on sale, then Indian purchase prices plus GST	Usually right for furniture, mattresses, sofas and anything bulky with low resale value
Carry as accompanied baggage	Airline excess baggage	Right for electronics, documents, jewellery and anything you cannot replace

The rule of thumb that survives contact with reality: ship what is expensive to replace and cheap to move (tools, books, musical instruments, good cookware, children's things with sentimental value), and do not ship what is cheap to replace and expensive to move (beds, sofas, wardrobes, white goods that will run on a different voltage anyway). Check the voltage and plug standard before you pack any appliance - a 110V appliance from North America is dead weight in India unless you also ship a transformer.

> **The one calculation that matters**
>
> Take the quoted door-to-door shipping cost, add the clearing agent's fee, add duty on the estimated value above your allowance, and divide by the number of cubic metres. Then compare that number with what it would cost to buy the same items in India, second-hand. If the shipping cost per item is more than half its Indian replacement value, leave it.

4.5 The shipping plan

Sea freight from the US East Coast to an Indian port runs roughly six to ten weeks door to door, and port clearance adds one to three weeks on top if the documents are complete. Work backwards from your arrival date, not forwards from your packing date.

1. **Eight to ten weeks before departure:** get three quotes from movers who handle India specifically, and ask each one whether they will handle customs clearance or whether you need a separate clearing agent at the Indian port. Ask for the destination charges in writing - the quote that looks cheapest is usually the one that excludes them.
2. **Six weeks before:** build the inventory. Every carton numbered, every high-value item photographed, every original invoice kept. Customs works from the packing list, so a vague list is an invitation to a valuation dispute.
3. **Four weeks before:** decide what travels with you as accompanied baggage. Keep the documents folder - passports, visas, the inventory, invoices, the employment or relocation letter, school

records, medical records - in your cabin bag, not the container.

4. **On arrival:** declare the unaccompanied shipment and the transfer-of-residence claim at the port of clearance. Your passport with the arrival stamp is the primary evidence of the two-year stay; the clearing agent will need it along with the bill of lading.
5. **Do not pack new-in-box items** in a transfer-of-residence shipment. They attract full duty and they invite scrutiny of the entire container. If you bought it last month, take it out of the box or leave it.

Insure the shipment for replacement value in India, not for what you paid abroad. And photograph everything before the container is sealed - a marine insurance claim without pre-shipment photographs is a slow argument.

4.6 The customs folder

Assemble this before the flight. It is a single plastic folder, and it is the difference between a two-hour clearance and a two-week one.

- ☐ Passport showing the arrival stamp and the two-year stay, plus the visa or residence permit for the period abroad
- ☐ Return ticket or one-way ticket, and the employment or relocation letter
- ☐ Packing list with per-item values, in a single currency, totalling to your declared value
- ☐ Original invoices for electronics and high-value items
- ☐ Photographs of high-value items, taken before packing
- ☐ Bill of lading or airway bill for the unaccompanied shipment
- ☐ Bank statements showing the source of funds for the goods, if asked
- ☐ Any condonation request, filed in writing with the customs authority, if your stay is short of two years or your short visits exceed six months
- ☐ The clearing agent's engagement letter and their IEC and contact details

4.7 Jewellery, gold and cash

The jewellery allowance under the 2026 rules is 40 grams for a female passenger and 20 grams otherwise, available to a resident or tourist of Indian origin who has been residing abroad for more than one year, on return. Gold or silver in any form other than ornaments is in the excluded list and is not covered by the transfer-of-residence allowance.

Two disciplines. First, keep the purchase receipts for ornaments - the question at the counter is usually about whether the jewellery was taken out of India and is now coming back, and a receipt settles it faster than an explanation. Second, declare rather than argue. Undeclared gold is treated very differently from declared gold above the allowance, and the difference is not a fine - it is confiscation and prosecution.

On cash: the rules for currency carried by passengers are separate from the baggage allowances, and they change. Check the current limits on the CBIC or customs website for your port before you travel rather than relying on a figure from a forum post.

4.8 Five clearance failures and how to avoid them

1. **The container arrives before you do.** The transfer-of-residence claim is tied to your arrival. Time the shipment to land after you, not before.
2. **The packing list says "household goods, assorted".** Customs cannot value an assorted box, so they will value it for you, and their number is not the one you had in mind.
3. **The two-year stay is evidenced only by your word.** The passport stamp is the evidence. If your passport was renewed mid-stay, carry the old one.
4. **Short visits were never counted.** The six-month aggregate is a condition, not a suggestion. Add up the days before you book the container.
5. **The agent was chosen on price.** A cheap agent who has not handled a transfer-of-residence claim will cost you more in demurrage than a good one costs in fees. Ask for two recent references from your destination city.

> **The demurrage clock**
>
> Once your container is at the port, storage charges begin and they are charged per day, per container, at rates that escalate fast. The way to lose several lakh rupees on a move is to have an incomplete document set when the container lands. Everything in 4.6 exists to keep that clock short.

4.9 At the counter: the five-sentence script

Customs clearance goes better when you say the right thing, briefly, in the right order. This is the shape of it - adapt the numbers, keep the structure.

> **What to say**
>
> 1. "I have returned to India on transfer of residence; my arrival stamp is on this page of my passport."
> 2. "I was abroad for [X] years continuously, and my short visits to India during the preceding two years total [Y] days, which is under six months."
> 3. "I have not claimed the transfer of residence concession in the preceding three years."
> 4. "Here is my packing list with per-item values, and the original invoices for the items over [threshold]."
> 5. "The shipment is unaccompanied; here is the bill of lading and my clearing agent's authority letter."

And the three things not to do: do not describe the contents as "household goods" without a list; do not argue about valuation at the counter, because the counter is not the forum - the assessment process is; and do not offer to "settle it" informally. If you disagree with an assessment, ask for it in writing and take advice, because the appeal route exists and is used.

PART 5

Documents and Admin

The 30-day list that turns a visitor into a resident

5.1 Aadhaar and PAN: the two identity rails

Almost everything else in this part depends on these two, and the rules for them differ by who you are.

Document	For an Indian citizen returning	For an OCI cardholder
Aadhaar	The 182-day residency requirement is waived for an NRI holding a valid Indian passport. You still must attend an enrolment or update centre in person for biometrics - there is no online route.	Treated as a resident foreign national for Aadhaar purposes: you need continuous physical residence in India of 182 days within the 12 months before applying, plus a valid OCI card, foreign passport and Indian address proof.
PAN	Usually already held. Check that it is linked to Aadhaar and that the name matches your bank records exactly.	Can be applied for from abroad; an e-PAN typically issues in about 7 to 10 days. It does not carry your address or nationality, so a change of citizenship generally does not require a new PAN.

Two practical notes. First, do the Aadhaar address update early, because it cascades into bank KYC, mobile SIM, demat and school admissions. Second, if your name appears differently across your passport, PAN and bank records - a middle name dropped, a surname reordered - fix it now, at the source, rather than explaining it at six different counters over six months.

5.2 OCI and the children's paperwork

If any member of the family holds an OCI card rather than Indian citizenship, the OCI rules changed twice recently and both changes matter.

- **The digital OCI (e-OCI) was launched on 30 June 2026** and physical cards are no longer printed. Existing physical OCI cards remain valid, and holders can download their e-OCI from the OCI portal using the email ID used for the original application.
- **The requirement to re-issue an OCI card every time a new passport is issued was relaxed.** You now upload a copy of the new passport and a recent photograph online each time a new passport is issued, within three months of issue, free of cost. If you do it after three months, a fee applies. Under the e-OCI system, holders updating details after age 20 also provide biometrics at the mission.
- **The PIO-card-to-OCI conversion facility was discontinued with effect from 1 January 2026.** A PIO cardholder now needs a fresh OCI application.

- An OCI card must be carried with a valid foreign passport - check that the passport has at least six months' validity before you travel, and that the passport details on the OCI are updated.

For children specifically: an OCI holder's minor child needs the same document discipline as an adult - valid passport, updated OCI, and for school admission, a birth certificate and the vaccination record. Get the school's document list in writing in October rather than discovering a requirement in March.

5.3 Banking KYC and UPI

Your bank knows you as a non-resident. It needs to know you as a resident, and the KYC refresh touches more than the account type.

- ☐ Residential status change form submitted at each bank, with the acknowledgement kept
- ☐ Address updated to the Indian address, with proof - rent agreement, electricity bill or sale deed
- ☐ PAN re-verified and linked to Aadhaar
- ☐ FATCA/CRS self-certification re-done, declaring India as your country of tax residence
- ☐ Nominee updated, because many NRI-era accounts were opened without one
- ☐ Mobile number updated to an Indian number, which is a prerequisite for UPI and for OTP delivery
- ☐ Debit card and cheque book reissued in the resident series

UPI deserves its own line, because it is the infrastructure of daily life in India now and it is gated on an Indian mobile number plus an Indian bank account. A returning family that lands without both spends the first fortnight asking relatives to pay for things. Sort the SIM in the first week - it is the unlock for UPI, for OTPs on every government portal, and for the delivery apps you will use to furnish a house.

5.4 The credit history cold start

You may have a decade of perfect credit abroad and no Indian credit history at all, because credit bureaus track behaviour in India. That is why a returning NRI with a large RFC balance can be refused a credit card at a supermarket counter.

- Start with a **secured product** - a credit card against a fixed deposit, or a loan against your own deposit. It builds a record without needing an income history.
- Give it six months of clean, low-utilisation activity before you apply for anything unsecured.
- Keep your first unsecured applications few and close together; a scatter of applications across lenders reads as distress.
- If your employer is a large one, ask whether they have a corporate salary-account relationship with preferential card issuance. It is the fastest legitimate shortcut.

The same cold-start logic applies to a home loan. A bank will look at your Indian income, not your foreign salary, once you are resident - so if you plan to buy within a year of returning, talk to two lenders before you land and understand what they will count.

5.5 Driving licence and vehicle

A foreign licence is a temporary bridge, not a permanent solution. The general position is that a licence issued abroad can be used in India for a limited period after you become resident, after which you need an Indian licence, and the exact rule and the period are set by state motor vehicle rules and RTO practice rather than by a single national number that this book can quote safely.

What to do: ask your destination city's RTO, in writing or on their published portal, three questions - how long a foreign licence is valid here after residency changes, whether a conversion is available without a fresh test for your licence's country of issue, and what documents the conversion needs. Carry an International Driving Permit if your home country issues one; it helps with a rental car while you sort the rest. Keep your foreign licence valid - do not surrender it before you have the Indian one in hand.

5.6 Health insurance: buy before you land

This is the item returning families most often defer, and it is the one with the worst asymmetry. Indian health policies impose waiting periods for pre-existing conditions - commonly two to four years, and it varies by insurer and policy - so every month you delay is a month added to the far end of the wait. Waiting periods are counted from policy inception, not from your first claim.

1. **Buy while you are still abroad** if the insurer accepts an NRI proposal, so the clock starts early. Some do; ask directly rather than assuming.
2. **Disclose the foreign medical history fully.** A claim rejected for non-disclosure in year three is a catastrophic outcome, and Indian insurers are within their rights to repudiate.
3. **Check the room-rent and co-payment clauses**, not just the sum insured. A Rs 10 lakh cover with a 20% co-pay and a single private room cap is a different product from the headline number.
4. **Cover the parents separately.** A senior-citizen policy is a different product with different underwriting; do not assume your family floater will absorb them.
5. **Keep the no-claim bonus letter from your foreign insurer.** Some Indian insurers will consider it for waiting-period relief; most will not, but the letter costs nothing.

5.7 Utilities, school records and the small things

- ☐ Electricity, water and gas connections transferred or newly applied for in your name
- ☐ Broadband booked - installation lead times in metro societies can run two to three weeks
- ☐ Society registration, parking allotment and the maintenance mandate
- ☐ Original school records collected: transfer certificate, mark sheets, birth certificate, vaccination card, and a letter from the previous school
- ☐ Medical records: immunisation history, prescriptions for ongoing conditions, and a summary letter from your doctor abroad
- ☐ Driving licence, both the foreign one and the Indian application
- ☐ Will and nominations reviewed, because your residency and asset location have both changed

5.8 Proof of residence: the document that unblocks everything

A surprising share of the friction in the first six months is not a rule at all - it is a missing address proof. Banks, brokers, schools, the RTO, the Aadhaar centre and the mobile operator all want the same thing in a slightly different form, and each will reject the other's version.

What you need it for	What is usually accepted	The trap
Aadhaar address update	Rent agreement, electricity bill, gas bill, or a bank statement with the address	The rent agreement must be stamped and signed by both parties; an unstamped one is often refused
Bank KYC refresh	Any of the above, plus PAN	The name and address must match the PAN record exactly
Demat and mutual fund KYC	Bank statement plus PAN plus address proof	The bank statement must show the new address, which means the bank KYC has to come first
School admission	Address proof plus birth certificate plus transfer certificate	Some schools want a utility bill in the parent's name at the current address, which takes a billing cycle to appear
Mobile SIM	Aadhaar-based verification	Aadhaar must already carry the Indian address
Driving licence	Address proof plus the foreign licence plus photographs	Requirements vary by state RTO; ask for the list in writing

The sequencing that avoids all of this: get a stamped rent agreement or a sale deed on day one, take an electricity connection or transfer it into your name in week one, wait for the first bill, and then do Aadhaar, then the bank, then everything else. Trying to do the demat before the bank KYC is the most common wasted week in a return move.

On treaties: if you need to claim relief under a double taxation avoidance agreement - for a pension, a dividend, or interest - the Indian tax authority will generally ask for a Tax Residency Certificate from the country you are claiming residence in, and India will issue one to you once you are resident here. The application is made through the income tax e-filing portal; the form was renumbered under the Income-tax Rules, 2026, so use the form the portal currently offers rather than an old reference. The certificate is also increasingly asked for by banks when you claim treaty benefits on interest.

PART 6

Family

Schools, parents and the people whose lives move with yours

6.1 Schools: the calendar is the constraint

Most Indian private schools run the academic year from April, and the admission cycle for that year typically opens around September and closes around January, with the most competitive schools closing first. That single fact should drive your arrival date more than the tax arithmetic does - because a school place is harder to fix retrospectively than a tax year.

- Shortlist eight to ten schools across two boards and two fee bands, and apply to all of them. Indian admissions are not a matching market; they are a queue.
- Ask each school four questions in writing: the admission timeline, the documents required, the fee structure including the annual and one-time charges, and whether they have a mid-year admission route.
- Decide the board deliberately. A move from a US or UK curriculum into CBSE or ICSE in Class 9 or 10 is a real academic shock; a move into IB or Cambridge is smoother but costs more and narrows your city options.
- Class 11 is a hard gate - stream selection happens on Class 10 results, and a mid-year arrival can leave a child with a forced stream. Plan around it or wait a year.
- Keep the previous school's transfer certificate and mark sheets in original. Every Indian school will ask, and replacing them from abroad takes weeks.

> **The document list that stalls admissions**
>
> Birth certificate, transfer certificate, previous two years' mark sheets, passport and visa or OCI copies, Aadhaar of the child and parents, address proof, vaccination record, and four photographs. Missing vaccination records are the most common stall - get the immunisation history from your paediatrician before you leave.

6.2 Elderly parents: the plan you cannot improvise

For a large share of returning NRIs, a parent is the reason for the move. That makes the care plan part of the relocation, not a separate project, and it has to be built before you land.

1. **Medical:** one file with diagnoses, current medicines, allergies, the last three investigation reports, and the names and numbers of the treating doctors. Get the foreign records summarised in one page by the treating physician.

2. **Insurance:** check what the parents already hold, whether it is a senior-citizen policy, and what the waiting periods and sub-limits are. Ayushman Bharat coverage depends on eligibility and empanelment; check the current position for your state rather than relying on what a neighbour says.
3. **Day-to-day:** decide now who is the emergency contact, which hospital is the default, and how a home attendant would be engaged if needed. Ask two neighbours and the society office for their recommendations before you need them.
4. **Legal:** a will, a nomination on every account, and - if you will be managing their affairs - a properly executed power of attorney. Do this while everyone is well.

6.3 The spouse's career and the eighteen-month gap

The single most under-planned element of a return move is the career of the partner who is not the primary relocator. A break of eighteen months is common, and it is much easier to prevent than to repair.

- Start the Indian job search before the move, and be explicit in interviews about the arrival date - a concrete date reads as commitment, not as a maybe.
- Map the licensing question early if the profession is regulated. A qualification that transfers freely in one direction often does not transfer in the other, and the gap is measured in months.
- Consider a bridge: consulting, contract work, or a remote arrangement with the foreign employer for the first year. It preserves continuity on the CV and cash flow at home.
- Build one professional community in the destination city within the first quarter. Job leads in India travel through networks more than through applications.

6.4 Children: the first ninety days

Children usually adapt faster than their parents expect and grieve longer than their parents notice. Three things help: continuity (keep the same bedtime rituals, the same video calls with friends abroad, the same hobbies), a school that has done this before (ask how many new students joined mid-year), and a local activity in the first month so that the child has one identity in the new city that is not "the new kid at school".

6.5 The family's twelve-month calendar

One page, one view. Put this on the fridge and work backwards from the arrival month.

Months before arrival	Money	Family and admin
12 to 10	Day-count table built. RNOR plan agreed with the CA. The year for foreign realisations chosen	Schools shortlisted; admission windows confirmed in writing. Housing plan for the first six months
10 to 8	Retirement accounts consolidated while you still have a foreign address. Foreign property decision taken	Vaccination and medical records collected. Children's school records requested
8 to 6	Mover quotes. TR eligibility checked against the two-year and six-month tests. Health insurance applied for	Job or practice confirmed on the Indian side. Spouse's job search started

Months before arrival	Money	Family and admin
6 to 4	Planned realisations executed inside the RNOR window. Foreign credit cards settled	School applications filed. Rent agreement or purchase decision for the first home
4 to 2	Container booked. Customs folder assembled. Bank letters drafted	Final medical and dental checks. Parents' care plan written down
2 to 1	Foreign accounts kept open and compliant. Final foreign tax position agreed	One-way tickets. Documents folder in the cabin bag, not the container
Arrival to +1	Banks notified. RFC opened and funded. NRE and NRO redesignated	SIM, Aadhaar address, electricity. School joining formalities
+1 to +3	Resident demat, mutual fund KYC, PIS closed. Insurance mandates updated	Driving licence process. Society and parking. Local routines established
+3 to +6	First advance tax instalments if applicable. Rent TDS reconciled	Health policy waiting periods tracked. Review of the monthly budget against the model
+6 to +12	Return and Form 67 calendar set. Foreign asset reporting position agreed in writing	One year review: what worked, what to change, whether the reverse option stays open

PART 7

The First 90 Days, the First Year

Checklists, the tax calendar, and the mistakes that cost the most

7.1 Days 1 to 30

- ☐ Notify every Indian bank in writing of the change of status; keep acknowledgements with dates
- ☐ Open or confirm the RFC account and move NRE/FCNR balances in, keeping the source-of-funds trail
- ☐ Redesignate NRE and NRO accounts; leave NRE and FCNR fixed deposits running to maturity
- ☐ Get an Indian mobile number and start the UPI setup
- ☐ Update Aadhaar address; verify PAN linkage and name match
- ☐ Submit the first insurance claim-free month - confirm the policy start date and waiting periods in writing
- ☐ Register with the local police if your visa category requires it (not required for OCI holders)
- ☐ File the transfer-of-residence documents with the clearing agent, if the container is in transit

7.2 Days 31 to 60

- ☐ Convert the NRI demat to a resident demat; complete fresh KYC with the depository participant
- ☐ Update KYC with every mutual fund house, or through the registrar, and redo the FATCA/CRS declaration
- ☐ Close the PIS account
- ☐ Notify insurers of the status change and update the bank mandate
- ☐ Complete school admissions and pay the first fee cycle
- ☐ Sort the driving licence position at the RTO
- ☐ Book the CA meeting for the year-of-return filing, with the day-count table in hand

7.3 Days 61 to 90

- ☐ Reconcile the first interest credits - confirm the RFC interest is being treated as exempt while you are RNOR
- ☐ Reconcile any TDS credits, particularly rent TDS if you let out a property
- ☐ Review the health policy's waiting-period schedule against your actual start date
- ☐ Set up the Form 67 reminder for the first ROR year in which you have foreign income

- ☐ Decide the foreign-asset reporting position for the year with your CA, in writing
- ☐ Review the will, the nominations and the bank mandates
- ☐ Do a cash-flow review: actual monthly spend against the pre-move model

7.4 Your first-year tax calendar

When	What
Month of arrival	Fix the day-count position for the tax year. Decide whether an Indian return will be needed for the year of return.
By 15 June	First advance tax instalment, if you have Indian income that is not fully covered by TDS
By 15 September	Second advance tax instalment
By 15 December	Third advance tax instalment
By 31 December	For US filers, the calendar year closes - the Indian and US reporting periods diverge here, which is where credits get lost
By 15 March	Fourth advance tax instalment
By 31 July / 31 August	Income tax return due date - extended to 31 August for individuals with business income who are not subject to audit; confirm the current year's date
Same date as the return	Form 67 for foreign tax credit - file it by the due date or risk the credit

The one line to remember: Form 67 is due by the return due date, not after it, and a late filing can forfeit the credit entirely. It goes on the calendar at the same time as the return, with the same seriousness.

7.5 Twenty mistakes that cost returning NRIs the most

1. Arriving three weeks too early and losing a non-resident year to the 182-day test.
2. Assuming the 60 + 365 limb does not apply without adding up the four preceding years.
3. Converting NRE to a resident savings account before opening the RFC.
4. Breaking an NRE fixed deposit early instead of letting it run to maturity.
5. Keeping foreign savings in an ordinary Indian savings account during RNOR - the "received in India" trap.
6. Leaving the FATCA/CRS declaration stale across every Indian financial account.
7. Forgetting the PIS account exists.
8. Cashing out a 401(k) in the final foreign year without checking the bracket or the RNOR plan.
9. Filing Form 67 late and losing the foreign tax credit.
10. Treating RNOR as an exemption from foreign-asset disclosure.
11. Selling Indian property without applying for Form 128, and locking up more than half the gain for a year.
12. Paying an advance on a property sale before the lower-deduction certificate is issued.
13. Buying agricultural land or a farmhouse while still a non-resident, or through a relative's name.

14. Not keeping the bank advice that proves the original inward remittance - it is needed years later at repatriation.
15. Assuming the old Rs 5 lakh transfer-of-residence limit still applies.
16. Failing the six-month short-visit condition without counting the days.
17. Shipping new-in-box electronics in a transfer-of-residence container.
18. Packing a container with a vague inventory, then paying for demurrage while customs values it.
19. Landing without an Indian mobile number and discovering UPI is gated on it.
20. Deferring health insurance and adding years to the waiting period for a pre-existing condition.

7.6 If it does not work: keep the door unlocked

A meaningful number of families return abroad within two years. That is not a failure, but it is much cheaper if you planned for it. Three things preserve the option.

- **Do not close the foreign bank account or brokerage.** Keep them compliant and funded at the minimum, and update the address and W-8BEN. Reopening from India is far harder than keeping one open.
- **Keep the RFC funded.** RFC balances are fully repatriable and can be moved back to an NRE or FCNR(B) account if you become a non-resident again. That is precisely the flexibility you paid for.
- **Do not burn the foreign credit history.** Keep one card active with a small recurring charge, and keep the account in good standing.

> **The honest closing note**
>
> The best return moves are the boring ones: a job confirmed, a school applied for, an RFC opened before the NRE conversion, a Form 128 filed six weeks before the sale, and a container timed to land after you do. None of that is exciting. All of it is worth more than any amount of research into whether India's growth story is real - which, by the way, is not the question this book is answering. Your job is to move your own money and your own family across a border without losing any of it to a form you did not know existed.

7.7 What the first year actually costs

These are illustrative planning ranges for a family of four in a large metro in 2026-27, not quotes. They exist to stop the most common planning error, which is budgeting the Indian lifestyle at foreign prices minus a discount, rather than at Indian prices.

Line	Monthly range	Annual range	Notes
Rent, 3BHK in a good metro locality	Rs 55,000 – 1,10,000	Rs 6.6 – 13.2 lakh	The single biggest variable; school proximity drives it more than anything else
International or premium private school, two children	Rs 35,000 – 70,000	Rs 4.2 – 8.4 lakh	Fees are usually annual or term-wise, not monthly - budget the cash-flow accordingly
Transport, including a driver or a second car	Rs 15,000 – 35,000	Rs 1.8 – 4.2 lakh	A driver is often cheaper than a second car once depreciation is counted

Line	Monthly range	Annual range	Notes
Domestic help, cook and part-time cleaning	Rs 12,000 – 30,000	Rs 1.4 – 3.6 lakh	Varies hugely by city and by what you delegate
Groceries and household	Rs 20,000 – 40,000	Rs 2.4 – 4.8 lakh	Delivery apps inflate this faster than any other line
Utilities, broadband, mobile	Rs 6,000 – 12,000	Rs 72,000 – 1.4 lakh	Air conditioning in summer is the swing factor
Health insurance premiums	Rs 4,000 – 10,000	Rs 48,000 – 1.2 lakh	Family floater plus separate parents' cover
Social, travel, festivals, weddings	Rs 15,000 – 40,000	Rs 1.8 – 4.8 lakh	The line everyone underestimates; the Indian social calendar is expensive
Indicative total	Rs 1.6 – 3.5 lakh	Rs 19 – 42 lakh	Before tax, savings, EMI and one-off setup costs

Add one-off setup in year one: deposit on the rented home (typically two to six months' rent, and a large share of a returning family's first-year cash), furnishing, a car, school admission and annual charges, and the container's landed cost. A realistic first-year cash requirement for a family of four in a metro, excluding property purchase, usually sits between Rs 30 and 60 lakh - which is exactly why the RFC, the deposit refund and the property TDS timing all matter more than they look.

> **The number that decides the move**
>
> Take your expected first-year post-tax Indian income, subtract the annual total above, and subtract the one-off setup. If the result is negative for two years running, the plan needs either a different city, a different school band, or more runway. Finding that out on paper is free. Finding it out in month fourteen is not.

7.8 Frequently asked questions

I am returning in December 2026. Will I be non-resident for that year?

Probably not on the 182-day test, and possibly not on the other one either. From 2 October 2026, your stay falls below 182 days, so the first test fails. But if you spent 365 days or more in India across FY 2022-23 to FY 2025-26, the 60 + 365 test catches you at 60 days, and December is well past that. Build the table in Appendix B before assuming anything.

Is the transfer-of-residence limit Rs 5 lakh or Rs 7.5 lakh?

Rs 7,50,000, if you have been abroad for two years or more immediately before arrival, your short visits to India in the preceding two years do not exceed six months in total, and you have not claimed the concession in the preceding three years. The Rs 5 lakh figure comes from the Baggage Rules, 2016, which were superseded with effect from 2 February 2026.

Do I have to convert my NRE account immediately?

The direction requires redesignation or transfer to RFC when you become resident under FEMA, which happens on the day you land to settle. There is no statutory grace period. Banks take days to weeks to process it, which is an operational delay, not a legal one - so notify in writing on arrival and keep the acknowledgement.

Should I convert to a resident savings account or an RFC account?

Both, in that order of importance: RFC first, funded from NRE and FCNR balances, then a resident savings account for rupee spending. NRE interest loses its exemption the day you become FEMA-resident; RFC interest stays exempt while you are RNOR, and RFC balances sit outside the LRS ceiling and TCS.

Will I be taxed on my foreign salary during the RNOR years?

Foreign-source income is generally outside the Indian net while you are not ordinarily resident, except income from a business you control in India or a profession set up in India. The exception that matters is income received in India: money you bring into an ordinary Indian account can be treated as received here. Keep foreign-source funds in the RFC or abroad.

How much TDS will be deducted if I sell my flat as a non-resident?

On the entire sale consideration, not the gain: 12.5% for a long-term gain plus surcharge (capped at 15% for LTCG) and 4% cess, which is up to about 14.95% effective. On a Rs 2 crore sale that is close to Rs 28 lakh withheld. Apply for a lower deduction certificate in Form 128 before the first payment and the deduction is matched to your actual gain.

Can I buy agricultural land in India?

Not while you are a non-resident. Agricultural land, plantation property and farmhouses can only be inherited, and can only be sold or gifted to a resident Indian citizen. Once you are a FEMA resident you can buy it like anyone else, subject to the state's agriculturist and ceiling rules. Buying it through a relative's name while you fund it is a benami transaction.

What happens to my 401(k)?

You can generally keep it. Consolidate former employer plans into one IRA while you still have a foreign address, confirm in writing whether your custodian restricts accounts with an Indian address, and use the RNOR years for any planned distribution - once you are ROR, India taxes the distribution with credit for US tax, and the paperwork gets harder.

Do I need to disclose foreign accounts in my Indian return?

Once you are ROR, yes - Schedule FA, threshold nil, with a Rs 10 lakh penalty per undisclosed asset under the Black Money Act. During RNOR the position is genuinely contested and should be settled with your CA in writing for your facts. What you should not do is assume that RNOR removes the disclosure obligation.

Is Form 67 really that important?

Yes. Foreign tax credit is claimed on Form 67, and it must be filed by the due date for filing the return. File late and the credit can be lost entirely, which turns a manageable double-tax question into a full second tax bill. Put it on the calendar at the same time as the return.

Can I use LRS from the day I land?

LRS is for resident individuals under FEMA, and FEMA residency is intention-based, so yes - from the day you land to settle, not after 182 days. The ceiling is USD 250,000 per financial year, with TCS of 2% (education and medical) or 20% (other purposes) on the aggregate above Rs 10 lakh from 1 April 2026. RFC balances are outside LRS.

What if I want to move abroad again?

Keep the door unlocked: keep the foreign bank and brokerage accounts open and compliant, keep the RFC funded - RFC balances are fully repatriable and can move back to NRE or FCNR(B) if you become a non-resident again - and keep one foreign credit card active. The cost of maintaining those three is small; the cost of reopening them from India is not.

PART 8

When Something Has Already Gone

The retro-fixes, what they cost, and the order to do them in

8.1 The five retro-fixes

Most of this book assumes you are planning. A large number of readers will be reading it after the fact - having already landed, already converted an account, already sold a flat, or already filed a return. Nothing here is unfixable, but the cost of the fix rises with time, so the order in this section is deliberate.

What went wrong	What is available	What it costs	How urgent
NRE account still not redesignated months after landing	Redesignation or transfer to RFC now, with a written explanation of the delay to the bank	Usually nil if the delay is short and the balance has not been misused; the risk is a FEMA contravention question, not a tax bill	High - the longer it runs, the harder the explanation
Sold property without a Form 128 and the buyer withheld on the full price	Nothing to undo; the excess is claimed as a refund in your return	The cash is locked for months, not lost - but the return has to be filed, and the refund processed	Medium - file on time and claim it
Transfer of residence claimed but the stay was short of two years	Inform the customs authority and pay the duty with interest, as the rules require	Duty on the value above the slab you actually qualified for, plus interest	High - voluntary disclosure is treated very differently from discovery
Form 67 not filed with the return	File immediately and argue for condonation; some officers accept it, the rule does not require them to	Potentially the entire foreign tax credit	Very high - this is the most expensive silence in the book
Foreign assets left out of Schedule FA	Correct the position before any notice arrives; a revised or updated return, with advice	Rs 10 lakh per undisclosed asset under the Black Money Act, plus tax on associated income	Very high - get advice this week, not this year

The pattern is consistent: the fixes that cost the least are the ones you start yourself, in writing, before anybody asks. Keep the letters. A dated acknowledgement from a bank or a customs officer is the single most useful document in a FEMA or customs conversation two years later.

8.2 FEMA compounding, in outline

If a contravention has already happened - agricultural land bought while non-resident, a property acquired through a relative's name, an NRE account operated long after return, funds received in a way the regulations do not permit - the mechanism is compounding, not concealment.

- Compounding is an application to the RBI to regularise a contravention by paying a sum, calculated under the Compounding Rules read with the RBI's Master Direction on compounding. The ceiling is **three times the sum involved** in the contravention.
- In the agricultural land cases that reach the public record, the RBI's direction is typically to transfer the property to a person eligible to hold it, and then to compound. Penalties in reported cases have run into multiples of the original purchase price, calculated with reference to the gain.
- Voluntary disclosure, cooperation, the length of the contravention and whether there was any financial gain are all factors in the amount. The reported cases that ended badly are the ones where the contravention was discovered rather than disclosed.
- This is not a DIY process. A FEMA practitioner drafts the application and the supporting facts, and the difference between a well-drafted application and a hopeful one is measured in lakhs.

8.3 The bundle to hand your chartered accountant

One folder, in this order. It turns a two-hour discovery conversation into a thirty-minute review, and it is the difference between advice and guesswork.

- ☐ Passport pages showing every entry and exit stamp for the last seven years, and the arrival stamp for the return
- ☐ The day-count table from Appendix B, filled in
- ☐ The list of foreign accounts, with country, institution, account type, currency and the peak and closing balances for the calendar year
- ☐ Foreign tax returns for the year of departure and the year after, if filed
- ☐ Retirement account statements, showing balances and any distribution taken
- ☐ Indian income documents: rent receipts, TDS certificates, bank interest certificates, capital gains workings
- ☐ The property file: purchase deed, sale agreement, the buyer's TDS details, Form 128 certificate if obtained, and the bank advice proving how the property was originally paid for
- ☐ The customs file: the packing list, the declared value, the duty paid, and the transfer-of-residence correspondence
- ☐ The bank correspondence: the status change requests, the RFC opening, and the acknowledgements
- ☐ Any notice, letter or email from a bank, the customs department or the income tax department, in date order

> **One question to ask before you engage anyone**
>
> "Have you handled a returning-NRI file under the Income-tax Act, 2025, with an RNOR year and a Form 67 claim?" The 2025 Act renumbered almost every provision and form relevant to you. An adviser who is excellent on resident salaried returns may still be learning this one, and this is not the year to be somebody's first.

A

Appendices

Worksheets, templates, prompts and sources

Appendix A Master checklist

Print this page. One column is enough; the value is in the sequencing, not the decoration.

#	Task	Owner	Due
1	Compute the day count for the return year and the two years after	You + CA	T-12 months
2	Agree the RNOR plan and the year for large foreign realisations	You + CA	T-12 months
3	Confirm income on the Indian side	You	T-12 months
4	Shortlist and apply to schools	You	T-9 months
5	Consolidate retirement accounts while you have a foreign address	You	T-9 months
6	Mover quotes and TR eligibility check	You	T-6 months
7	Start Indian health insurance; note the waiting periods	You	T-6 months
8	Collect originals: school records, medical records, bank advices	You	T-6 months
9	Settle foreign credit cards and close unused accounts	You	T-3 months
10	Book the container; build the inventory	You	T-8 weeks

#	Task	Owner	Due
11	Assemble the customs folder	You	T-4 weeks
12	Notify Indian banks in writing	You	Arrival week
13	Open or fund the RFC	You + bank	Week 1
14	Redesignate NRE and NRO	You + bank	Month 1
15	Aadhaar and PAN updates; Indian mobile number	You	Month 1
16	Resident demat; mutual fund KYC; close PIS	You	Month 2
17	Insurance notifications and mandates	You	Month 2
18	CA meeting for the year-of-return filing	You + CA	Month 2
19	Form 67 calendar entry for the first ROR year	You + CA	Month 3
20	Will, nominations and mandates reviewed	You	Month 3

Appendix B Day-count worksheet

Fill this in from your passport stamps or the immigration movement record. Count both the day of arrival and the day of departure. Do not estimate.

Tax year	Days in India	Resident under 182 days?	Resident under 60 + 365?	Notes
FY 2022-23				
FY 2023-24				
FY 2024-25				
FY 2025-26				
Total of the four preceding years		x		This is the 365-day limb
FY 2026-27 (year of return)				60-day floor applies if the limb above is met

Then answer three questions in order. One: are you resident in the return year under either test? Two: if resident, were you non-resident in nine of the ten preceding years, or present for 729 days or less in

the preceding seven? Three: in which year do both of those fail, because that is your first ROR year - and everything you wanted to realise during RNOR has to happen before it.

Appendix C Arrival-date decision table

If your priority is	Then	Because
Maximum RNOR runway	Arrive late in the tax year (after 31 January) so the return year is non-resident	You gain a full non-resident year before the RNOR years begin - but check the 60 + 365 limb first
A school place	Arrive before the April academic year, with applications filed by December	Admission cycles close in January
Clearing the container cheaply	Arrive before the shipment, with the two-year stay and short-visit conditions met	The transfer-of-residence claim is tied to your arrival
Selling a foreign property inside the RNOR window	Time the sale into the RNOR years, not the ROR years	Foreign capital gains are outside the Indian net only while RNOR
A clean first-year filing	Arrive early enough that the year is unambiguously resident	One status for the whole year is simpler than a part-year position

Appendix D Bank letter template

Adapt and send to each bank's NRI cell, by email, and keep the acknowledgement. Short letters get answered; long ones get forwarded.

> **Template**
>
> Subject: Change of residential status - request for redesignation of accounts
>
> Dear Sir/Madam,
>
> I am the holder of account number _____ (NRE / NRO / FCNR) with your branch. I returned to India on ____ (date) with the intention of settling here permanently and am therefore a person resident in India under FEMA from that date. My passport number is _____ and my PAN is _____.
>
> I request you to: (1) open a Resident Foreign Currency account in _____ (currency) and confirm in writing which credits you will accept into it; (2) redesignate my NRE savings account to a resident savings account; (3) redesignate my NRO account to a resident savings account; (4) confirm that my existing NRE and FCNR fixed deposits will continue at the contracted rate to maturity, with proceeds to be credited to the RFC account; and (5) update my KYC, address, nominee and FATCA/CRS declaration.
>
> Please confirm receipt and the expected timeline in writing.
>
> Yours faithfully,
> Name, address, mobile, email

Appendix E Document request list

Send this as a single email to your employer abroad, your children's school, your doctor and your bank, before you leave. Each of them has a standard letter they will issue on request, and none of them will issue it quickly once you have moved.

- ☐ Employment letter stating dates of employment and designation
- ☐ Relieving letter or experience certificate
- ☐ Last three months' payslips and the annual tax statement
- ☐ Full school records: transfer certificate, mark sheets for two years, a letter confirming enrolment dates
- ☐ Immunisation and medical history summary, signed by the treating doctor
- ☐ No-claim bonus letter from the foreign health insurer
- ☐ Bank statements for the last 12 months, stamped, for source-of-funds evidence
- ☐ Retirement account statements showing the full balance and the rollover history
- ☐ Driving licence extract or verification letter from the issuing authority
- ☐ Police clearance certificate, if you may need it for an Indian employment or licensing process

Appendix F Shipping inventory template

Carton	Contents	Quantity	Declared value	Invoice held?	Photo taken?
1				Y / N	Y / N
2				Y / N	Y / N
3				Y / N	Y / N
...					
Total	Must equal the declared shipment value				

Rules that keep this page useful: number every carton, photograph the contents before sealing, keep every original invoice, and put the highest-value items on their own lines rather than inside a mixed carton. A customs officer who can see a specific item with a specific invoice does not need to value the box.

Appendix G Twenty AI prompts for the move

These are written to be pasted into a general-purpose assistant and edited. Replace the bracketed details. Use them to draft, compare and check - never to decide a tax position.

1. I am an Indian citizen returning permanently from [country] on [date]. My days in India were [X] in each of the last four tax years. Explain, step by step, how section 6(2) and section 6(13) of the Income-tax Act, 2025 apply to me, and list the questions I should confirm with my CA.
2. Build a table comparing my likely status as non-resident, RNOR and ROR across the next four tax years, given the day counts I provide, and flag the year in which I first become ROR.
3. List every Indian financial account and relationship that needs a status update when I become a FEMA resident, in the order I should do them, and note which one must come first.

4. Draft a letter to my Indian bank requesting NRE/NRO redesignation and an RFC account, in formal Indian business English, under 250 words.
5. Explain the difference between an RFC and an RFC(D) account, and list the questions I should ask my bank before funding either.
6. Summarise the Baggage Rules, 2026 transfer-of-residence slabs and conditions as if explaining them to a family of four, with the three conditions that most often fail.
7. I have [X] cartons and [Y] years abroad. Draft a packing list decision framework that tells me what to ship and what to sell, using replacement value in India as the test.
8. Draft a customs folder checklist for a transfer-of-residence shipment arriving at [port], including the documents a clearing agent will ask for.
9. Explain how TDS works when a non-resident sells Indian property, and describe when Form 128 is worth applying for, with a worked example.
10. Draft a one-page computation summary I can give my CA to support a Form 128 application.
11. Explain the 30% standard deduction on rental income and the TDS my tenant must deduct if the rent exceeds Rs 50,000 a month, including the form numbers under the 2025 Act.
12. Compare three Indian health insurance structures for a family of four returning from abroad, and list the clauses I should read before buying.
13. Draft a shortlist framework for schools in [city], with the questions I should ask each admissions office in writing.
14. Write a 90-day plan for a child joining an Indian school mid-year, from the child's perspective.
15. Draft an email to my foreign employer requesting the documents a returning employee needs, listed in one message.
16. Explain Schedule FA in plain English and list the questions I must ask my CA about my RNOR year.
17. Explain Form 67 and the foreign tax credit, and describe what happens if it is filed late.
18. Compare the cost of shipping a container from [city] to [Indian city] against selling and rebuying, using the values I provide.
19. Draft a monthly budget for a family of four in [Indian city] covering rent, school fees, transport, help and utilities, with a low, middle and high scenario.
20. Review my relocation plan below for sequencing errors, missing compliance steps and unrealistic timings, and list them in priority order.

Appendix H Sources and verification dates

Every threshold in this book was checked in the first week of November 2026 against the following primary and official sources. Where a figure comes from a secondary source, that is stated. Re-verify anything you are about to act on.

- Income-tax Act, 2025 (Act 30 of 2025), as amended by the Finance Act, 2026 - section 6 (residence), section 5 (scope of total income), section 393 (TDS), section 394 (TCS), section 395 (lower deduction). Published on incometaxindia.gov.in.
- Income Tax Department, Residential Status guidance and the section 6 comparison of the 1961 and 2025 Acts - incometaxindia.gov.in.

- Income Tax Department, 'TDS on Rent by Certain Individual or HUF' (as amended by the Finance Act, 2026) - rate 2%, threshold Rs 50,000 a month, Form 26QC/Form 141 Schedule A, Form 16C.
- Income Tax Department, Form No. 141 guidance (challan-cum-statement, consolidating the former Forms 26QB, 26QC, 26QD and 26QE) and Form No. 128 FAQs (lower or nil deduction, section 395(1), Rule 213).
- CBDT Notification No. 121/2026 dated 22 September 2026 - PAN-based TDS compliance for resident individual and HUF buyers purchasing immovable property from non-residents, effective 1 October 2026 (Form 141 Schedule E, Form 132).
- Baggage Rules, 2026 - Notification No. 14/2026-Customs (N.T.) dated 1 February 2026, in force 2 February 2026, superseding the Baggage Rules, 2016. Rule 5 (general free allowance Rs 75,000), rule 6 (jewellery), rule 7 and Appendices I and II (transfer of residence, Rs 1,50,000 / Rs 3,00,000 / Rs 7,50,000), Annexures I and II.
- CBIC and Mumbai Customs Zone, 'Guide for International Travellers', updated February 2026 - duty-free allowance table and transfer-of-residence slabs.
- Reserve Bank of India, Foreign Exchange Management (Non-debt Instruments) Rules, 2019, Rule 24, and the RBI FAQs on acquisition and transfer of immovable property in India - permitted and prohibited categories, payment routes, repatriation of sale proceeds (USD 1 million per financial year; two residential properties).
- Reserve Bank of India, Liberalised Remittance Scheme - USD 250,000 per financial year, Form A2, and the LRS Master Direction.
- Finance Act, 2026 and section 394(1) Table Sl. No. 7 of the Income-tax Act, 2025 - TCS on LRS remittances from 1 April 2026: 2% for education and medical treatment, 20% for other purposes, above an aggregate of Rs 10 lakh; overseas tour packages at a flat 2%.
- Ministry of External Affairs, OCI scheme and the OCI re-issuance relaxation; Consular guidance on the digital OCI (e-OCI) launched 30 June 2026 and the discontinuation of PIO-to-OCI conversion from 1 January 2026.
- UIDAI rules on Aadhaar for NRIs (182-day requirement waived for holders of a valid Indian passport) and for OCI cardholders (182 days of continuous residence), as reported in September 2026.
- Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 - penalty of Rs 10 lakh per undisclosed foreign asset; the 2024 amendment raising the safe harbour for certain movable foreign assets.
- Press and practitioner reporting through 2026 on the Bengaluru Consumer Commission order of 26 September 2026 (security deposit withheld without evidence; refund with 9% interest and costs), used only for context in the companion renter's title and not relied on for any figure here.

Where this book deliberately does not give a number - the period for which a foreign driving licence remains usable, the exact stamp duty for a state, the precise wording of a state's tenancy rules - it is because the answer genuinely varies and a wrong number is worse than a question. Ask the authority, in writing, and keep the reply.

Appendix I Glossary

Term	What it means here
FEMA	Foreign Exchange Management Act, 1999. Governs your accounts, remittances and property rights. Residency is intention-based.

Term	What it means here
RNOR	Resident but not ordinarily resident. A transitional tax status: India taxes your Indian income and your foreign business income, and generally leaves foreign-source income alone.
ROR	Resident and ordinarily resident. India taxes worldwide income, with treaty relief and foreign tax credit.
RFC	Resident Foreign Currency account. A foreign-currency account for a returning resident; outside the LRS ceiling and TCS, and its interest is exempt while you are RNOR.
NRE / NRO / FCNR(B)	The three non-resident account families: external rupee accounts, ordinary non-resident rupee accounts, and foreign currency non-resident deposits.
LRS	Liberalised Remittance Scheme. USD 250,000 a year per resident individual for permitted outward remittances.
TCS	Tax collected at source. Collected by the bank on LRS remittances above the threshold; a credit, not a final tax.
TR	Transfer of residence. The customs facility that lets a returning resident import personal and household goods within an allowance.
Schedule FA	The schedule in the Indian income tax return that discloses foreign assets.
Form 67	The form on which foreign tax credit is claimed; due by the return due date.
PIS	Portfolio Investment Scheme. The non-resident route for Indian equities; closed when you become a resident demat holder.
e-OCI	The digital OCI document, issued instead of a physical card from 30 June 2026.

End of playbook. If one page of this saved you a single form's worth of money, it did its job.